



TD SECURITIES (USA) LLC

July 13, 2026

Price: \$157.51 (07/10/2026)

Price Target: \$215.00 (Prior \$160.00)

BUY (1)

Shaul Eyal

646 562 1414

shaul.eyal@tdsecurities.com

Hugh Cunningham, CFA, CAIA

646 562 1370

hugh.cunningham@tdsecurities.com

Michael Junghans

646 562 1427

michael.junghans@tdsecurities.com

Key Data

Symbol	NASDAQ: FTNT
Beta:	1.09
52-Week Range:	\$163.73-\$74.39
Market Cap:	\$115.4B
Net Debt (MM):	\$(2,798.1)
Cash/Share:	\$3.28
Dil. Shares Out (MM):	742.8
Enterprise Value (MM):	\$114,200.3
BV/Share:	\$1.35
FCF Yield:	4.7%
Dividend:	\$0.00
Yield:	0.0%

FY (Dec)	2025A	2026E	2027E
Revenue (MM)			
Year	\$6,800.0	\$7,854.0	\$8,677.0
Prior Year	-	\$7,830.0	\$8,650.0
EV/S	16.8x	14.5x	13.2x
Consensus Rev	\$6,799.6	\$7,805.9	\$8,636.8

Consensus source: FactSet

Tables in the report show Refinitiv consensus estimates and thus may not match these FactSet estimates.

Billings

Year	7,555.0	9,044.0	1,006.0
Prior Year	-	9,020.0	9,980.0

EPS

Year	\$2.76	\$3.25	\$3.50
Prior Year	-	\$3.20	-
P/E	57.1x	48.5x	45.0x

ESTIMATE CHANGES

2Q26 Previews: Déjà Vu 1Q26: Expect Continued Strong Momentum; Beat & Raise

THE TD COWEN INSIGHT

Based on checks we expect: 1) Beat-and-raise 2Q print as AI and DC spend fuels product demand and services uptake; 2) Broad-based geographic strength with solid U.S. trends and strong momentum in EMEA/LATAM; 3) As FY26 unfolds, St's revenue ests should gradually expand toward high teens % y/y. We raise our Rev/billing est. above mgmt's top range & see further upside potential. PT up to \$215.

Strong 2Q Checks-1Q26 Déjà vu: Our VARs checks and broader channel conversations continue to indicate FTNT is tracking ahead of its 2Q26 targets similar to 1Q26 patterns. Supported by sustained demand for FortiGate appliances, SASE and SECOps across enterprise verticals, several VARs have exceeded quarterly quotas (at times by a range of 15%) and 3Q targets continue to trend higher.

Product/Svcs Dynamics: We envision continued healthy Product rev performance driven by multiple 7-digit transactions (FG-4000 & 5000 mainly) and potential 8-digit deals. We highlight that ongoing DC build-outs ahead of massive AI adoption is a meaningful tailwind per industry discussions. We see current St ests of \$636M (up 25% y/y) as swiftly exceeded towards 30%+. Additionally, we remind investors that Product rev is a leading indicator of future service rev growth and at this point our svc rev est of \$1.262B (above St's \$1.248B) reflects 13% y/y growth.

Strength Broadening Across Regions: We continue to see healthy demand across all major geographies. In the Americas (38% of mix), we expect growth to improve as solid North American trends build on already strong momentum in LATAM. In EMEA (43%) we expect forecast ~20% y/y growth supported by enterprise and renewed infrastructure investments across the region. APAC (19%) should remain healthy with 15%+ y/y growth consistent with recent trends.

Raising Estimates: We are raising our St high 2Q26 billings est from \$2.164B (up 19% y/y) to \$2.23B, noting further upside is highly feasible. We are lifting our 2Q26 Prod. rev from \$662M to \$675M (up 33% y/y), and our svc rev from \$1.252B (St at \$1.248B) to \$1.262B. Our FY26 total rev est is raised to ~\$7.854B (up 16%) from \$7.830B, which is ~1% above St's \$7.806B.

Bottom Line: As FTNT's platform remains a mission-critical building block of DC expansion in light of AI adoption, we continue to see FTNT as an agentic AI beneficiary. Our new PT of \$215 (prior \$160) is based on 52x EV/FY27 FCF estimated (prior 39x). FTNT reports 7/29 AMC.

AT A GLANCE

Our Investment Thesis

Our investment thesis is predicated on the following: (1) FTNT remains a leader in the UTM/SMB market and is gaining ground within the large Enterprise security equipment market leveraging its ultimate value proposition of total cost of ownership per performance leadership. (2) SD-WAN represents a sizable opportunity expanding at an industry CAGR of >20% over the next 3–5 years. (3) FortiOS embedded into Fortinet Security Fabric platform to seamlessly deliver NGFW, SD-WAN, and most recently FortiSASE all integrated together in one single pane of glass to win market adoption. (4) AI becomes a driver for further security adoption.

Base Case Assumptions

Quarterly revenue improvement, with growth stabilizing in the mid-teens, driven also by incremental growth from new product offerings (SASE, Gen-AI).

Upside Scenario

A rebound in more mature offerings and/or acceleration of new solutions drives overall revenue growth consistently towards 20%.

Forthcoming Catalysts

- Quarterly earnings
- Industry and investor conferences

Downside Scenario

Revenue contribution from both new solutions and mature offerings decelerates, dropping quarterly revenue growth consistently below 5%.

Price Performance



Source: Bloomberg

Company Description

Fortinet provides network security appliances and unified threat management (UTM) products to enterprises, service providers, SMBs, and government entities worldwide. The company's unified product portfolio includes NGFW, WAN/LAN Edge (SD-WAN), Cloud Security (FortiCloud), Email Security (FortiMail), AI-Driven SecOps (i.e. Forti-SIEM/SOAR/EDR/XDR), and SASE/Zero Trust solutions (FortiSASE). Fortinet ranks number one in the number of security appliances shipped worldwide with over 500,000 customers, representing about 30% of global firewalls deployed. Fortinet is headquartered in Sunnyvale, CA, and owns a 200,000 sq. ft. manufacturing assembly and operations center in Union City, CA. Fortinet has been free cash flow positive since its debut on the NASDAQ in 2019, commanding top tier investment grade credit ratings. The company was founded in 2000 by its current Chairman and CEO Ken Xie and his brother Michael (current CTO).

Analyst Top Picks

	Ticker	Price (07/10/2026)	Price Target	Rating
Cloudflare	NET	\$268.40	\$300.00	Buy
Fortinet	FTNT	\$157.51	\$215.00	Buy
SailPoint	SAIL	\$13.71	\$19.00	Buy

Figure 1 - Overview of Our Model Adjustments

We envision continued healthy Product rev performance and raise our Product revenue by 2% to YoY growth rate of 33% for 2Q.

Fortinet, Inc.: Model Adjustments in \$M	FY24 Dec-24A	FY25 2025	1Q26 Mar-26	2Q26E New	Previous	Change	FY26E New	Previous	Change	FY27E New	Previous	Change	FY28E New	Previous	Change
Billings	6,534	7,555	2,085	2,230	2,164	▲ 3.0%	9,044	9,020	▲ 0.3%	10,006	9,980	▲ 0.3%	10,578	10,550	▲ 0.3%
% y/y	2%	16%	31%	25%	22%		20%	19%		11%	11%		6%	6%	
Revenue - Product	1,909	2,218	645	675	662	▲ 2.1%	2,719	2,705	▲ 0.5%	2,899	2,884	▲ 0.5%	2,925	2,910	▲ 0.5%
% y/y	-1%	16%	41%	33%	30%		23%	22%		7%	7%		1%	1%	
Revenue - Services	4,047	4,581	1,205	1,262	1,252	▲ 0.8%	5,136	5,125	▲ 0.2%	5,777	5,766	▲ 0.2%	6,463	6,450	▲ 0.2%
% y/y	20%	13%	11%	13%	12%		12%	12%		13%	13%		12%	12%	
Total Revenue	5,956	6,800	1,850	1,938	1,914	▲ 1.2%	7,854	7,830	▲ 0.3%	8,677	8,650	▲ 0.3%	9,388	9,360	▲ 0.3%
% y/y	12%	14%	20%	19%	17%		16%	15%		10%	10%		8%	8%	
Gross Profit Margin - Products, non-GAAP	66.2%	67.6%	67.9%	68.0%	67.5%	▲ 50 bps	67.8%	67.4%	▲ 38 bps	67.5%	67.5%	▲ 0 bps	67.5%	67.5%	▲ 0 bps
Gross Profit Margin - Services, non-GAAP	88.4%	87.9%	88.1%	88.0%	87.7%	▲ 30 bps	88.0%	87.8%	▲ 23 bps	87.5%	87.5%	▲ 0 bps	87.5%	87.5%	▲ 0 bps
Gross Profit Margin, non-GAAP	81.3%	81.3%	81.0%	81.0%	80.7%	▲ 31 bps	81.0%	80.7%	▲ 27 bps	80.8%	80.8%	▲ -1 bps	81.3%	81.3%	▲ -1 bps
Operating Margin, non-GAAP	35.0%	35.5%	35.8%	35.4%	34.5%	▲ 93 bps	35.2%	34.8%	▲ 42 bps	35.0%	35.0%	▲ -3 bps	35.6%	35.8%	▲ -17 bps
Non-GAAP EPS (\$)	2.37	2.76	0.82	0.80	0.77	▲ 4%	3.25	3.20	▲ 1%	3.50	3.50	▲ 0%	3.85	3.85	▲ 0%
% y/y	45%	16%	40%	25%	20%		18%	16%		8%	9%		10%	10%	
FCF	1,879	2,226	1,007	480	454	▲ 6%	2,863	2,829	▲ 1%	3,016	3,011	▲ 0%	3,097	3,012	▲ 3%
% y/y	9%	18%	26%	69%	60%		20%	18%		13%	15%		3%	0%	
FCF Margin	31.6%	32.7%	54.4%	24.8%	23.7%	▲ 104 bps	33.9%	33.6%	▲ 33 bps	34.8%	34.8%	▲ -5 bps	33.0%	32.2%	▲ 80 bps

Source: Company information, TD Cowen estimates

Figure 2 - **Cybersecurity Comparable Companies: Consensus Financial Statistics**

Ratings: 1=Buy, 2=Hold, 3=Sell, 4=Suspended

Consensus Company Statistics											(\$ in millions, except per share data)
Ticker	Company	Rating	7/10/26	High 52WK	Low 52WK	Shares	Market Cap	Debt	Cash	Net Debt /(Cash)	Ent. Value
ALLT	Allot	1	\$8.48	\$11.92	\$6.12	49	\$415	\$6	\$98	(\$92)	\$322
CHKP	Check Point	1	\$131.70	\$225.23	\$112.23	104	\$13,727	\$2,007	\$4,380	(\$2,373)	\$11,354
CLBT	Cellebrite	1	\$15.94	\$19.98	\$11.02	249	\$3,976	\$23	\$535	(\$512)	\$3,464
CRWD	CrowdStrike	1	\$187.18	\$209.50	\$85.68	1,018	\$190,598	\$820	\$4,782	(\$3,962)	\$186,636
EVLV	Evolv	1	\$5.92	\$8.91	\$4.87	180	\$1,065	\$42	\$61	(\$19)	\$1,046
FSLY	Fastly	NR	\$19.59	\$34.82	\$6.29	157	\$3,066	\$430	\$330	\$100	\$3,166
FTNT	Fortinet	1	\$157.51	\$165.28	\$70.12	733	\$115,399	\$1,062	\$3,635	(\$2,573)	\$112,827
GEN	Gen Digital	NR	\$25.91	\$32.22	\$17.78	602	\$15,609	\$8,260	\$427	\$7,833	\$23,442
NET	Cloudflare	1	\$268.40	\$280.14	\$158.83	355	\$95,315	\$3,518	\$4,176	(\$658)	\$94,657
NICE	Nice	NR	\$99.74	\$175.00	\$83.10	59	\$5,844	\$89	\$310	(\$221)	\$5,623
NTSK	Netskope	1	\$12.32	\$27.99	\$7.67	404	\$4,976	\$755	\$1,103	(\$348)	\$4,628
OKTA	Okta	2	\$138.63	\$153.20	\$62.66	174	\$24,095	\$422	\$2,595	(\$2,173)	\$21,922
PANW	Palo Alto	1	\$325.91	\$368.17	\$139.57	815	\$265,617	\$417	\$7,003	(\$6,586)	\$259,031
QLYS	Qualys	2	\$152.69	\$164.17	\$74.51	35	\$5,377	\$52	\$731	(\$678)	\$4,699
RDWR	Radware	NR	\$31.45	\$32.79	\$21.68	43	\$1,357	\$17	\$324	(\$307)	\$1,050
RPD	Rapid7	NR	\$11.17	\$24.42	\$4.97	67	\$746	\$968	\$670	\$298	\$1,045
SAIL	SailPoint	1	\$13.71	\$24.00	\$10.30	567	\$7,776	\$18	\$394	(\$376)	\$7,400
S	SentinelOne	1	\$17.88	\$21.40	\$11.81	343	\$6,129	\$15	\$831	(\$816)	\$5,313
TENB	Tenable	1	\$39.78	\$42.94	\$15.73	110	\$4,387	\$417	\$360	\$57	\$4,444
VRNS	Varonis	1	\$44.53	\$63.90	\$19.70	115	\$5,113	\$522	\$902	(\$380)	\$4,732
ZS	Zscaler	1	\$139.27	\$336.99	\$114.63	162	\$22,521	\$1,797	\$3,555	(\$1,759)	\$20,763

Source: FactSet data, table created by TD Cowen

Figure 3 - **Cybersecurity Comparable Companies: Consensus Operating & Valuation Statistics**

Consensus Operating and Valuation Statistics																(\$ in millions, except per share data)	
Ticker	FY End	7/10/26 Ent. Value	Est. Revenue 2026	Est. Revenue 2027	Est. Revenue 2028	EV/Rev 2026	EV/Rev 2027	EV/Rev 2028	Est. EPS 2026	Est. EPS 2027	Est. EPS 2028	P/E 2026	P/E 2027	P/E 2028	EBIT margin 2026	Est. Rev Growth 2027	
ALLT	Dec	\$322	\$116	\$130	\$145	2.8x	2.5x	2.2x	\$0.29	\$0.36	\$0.29	29x	24x	29x	11.5%	12.5%	
CHKP	Dec	\$11,354	\$2,815	\$2,982	\$3,150	4.0x	3.8x	3.6x	\$10.42	\$11.42	\$12.46	13x	12x	11x	39.5%	6.0%	
CLBT	Dec	\$3,464	\$568	\$667	\$783	6.1x	5.2x	4.4x	\$0.33	\$0.44	\$0.57	49x	36x	28x	25.0%	17.5%	
CRWD	Jan	\$186,636	\$5,945	\$7,242	\$8,833	31.4x	25.8x	21.1x	\$1.23	\$1.56	\$2.01	152x	120x	93x	24.8%	21.8%	
EVLV	Dec	\$1,046	\$177	\$209	NA	5.9x	5.0x	NA	-\$0.09	-\$0.07	NA	NA	NA	NA	-6.5%	18.1%	
FSLY	Dec	\$3,166	\$719	\$801	\$884	4.4x	4.0x	3.6x	\$0.32	\$0.39	\$0.47	60x	50x	42x	8.9%	11.4%	
FTNT	Dec	\$112,827	\$7,806	\$8,637	\$9,534	14.5x	13.1x	11.8x	\$3.15	\$3.42	\$3.81	50x	46x	41x	34.6%	10.6%	
GEN	Apr	\$23,442	\$5,382	\$5,762	\$6,190	4.4x	4.1x	3.8x	\$2.91	\$3.30	\$3.69	9x	8x	7x	49.9%	7.1%	
NET	Dec	\$94,657	\$2,810	\$3,595	\$4,578	33.7x	26.3x	20.7x	\$1.20	\$1.58	\$2.16	224x	170x	124x	14.7%	27.9%	
NICE	Dec	\$5,623	\$3,179	\$3,485	\$3,922	1.8x	1.6x	1.4x	\$11.09	\$12.66	\$15.39	9x	8x	6x	25.8%	9.6%	
NTSK	Jan	\$4,628	\$881	\$1,071	\$1,286	5.3x	4.3x	3.6x	-\$0.18	\$0.02	\$0.14	NA	570x	86x	-9.7%	21.6%	
OKTA	Jan	\$21,922	\$3,199	\$3,503	\$3,874	6.9x	6.3x	5.7x	\$3.85	\$4.26	\$4.83	36x	33x	29x	25.7%	9.5%	
PANW	Jul	\$259,031	\$11,415	\$13,814	\$15,764	22.7x	18.8x	16.4x	\$3.77	\$4.11	\$0.00	86x	79x	NA	29.1%	21.0%	
QLYS	Dec	\$4,699	\$725	\$775	\$825	6.5x	6.1x	5.7x	\$7.60	\$8.31	\$8.72	20x	18x	18x	42.7%	7.0%	
RDWR	Dec	\$1,050	\$329	\$355	NA	3.2x	3.0x	NA	\$1.17	\$1.30	NA	27x	24x	NA	12.9%	7.9%	
RPD	Dec	\$1,045	\$839	\$837	\$852	1.2x	1.2x	1.2x	\$1.56	\$1.54	\$1.63	7x	7x	7x	13.7%	-0.2%	
SAIL	Jan	\$7,400	\$1,270	\$1,507	\$1,766	5.8x	4.9x	4.2x	\$0.32	\$0.40	\$0.47	43x	34x	29x	18.9%	18.6%	
S	Jan	\$5,313	\$1,200	\$1,412	\$1,638	4.4x	3.8x	3.2x	\$0.35	\$0.50	\$0.72	51x	36x	25x	10.0%	17.6%	
TENB	Dec	\$4,444	\$1,074	\$1,151	\$1,237	4.1x	3.9x	3.6x	\$1.95	\$2.16	\$2.38	20x	18x	17x	24.0%	7.2%	
VRNS	Dec	\$4,732	\$734	\$869	\$1,020	6.4x	5.4x	4.6x	\$0.12	\$0.38	\$0.69	374x	116x	65x	1.0%	18.3%	
ZS	Jul	\$20,763	\$3,331	\$3,893	\$4,542	6.2x	5.3x	4.6x	\$4.12	\$4.58	\$5.38	34x	30x	26x	22.7%	16.9%	
						Average	8.7x	7.3x	6.6x	Average			68x	72x	38x		
						Median	5.8x	4.9x	4.2x	Median			36x	34x	28x		

Source: FactSet data, table created by TD Cowen

Fortinet, Inc.	FY19	FY20	FY21	FY22	FY23	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26E	3Q26E	4Q26E	FY26E	FY27E	FY28E
P&L (\$Millions)	2019A	2020A	2021A	2022A	2023A	2024	Mar-25	Jun-25	Sep-25	Dec-26	2025	Mar-26	Jun-26E	Sep-26E	Dec-26E	2026E	2027E	2028E
Billings	2,603	3,090	4,190	5,605	6,400	6,534	1,597	1,779	1,760	2,418	7,555	2,085	2,230	2,021	2,708	9,044	10,006	10,578
Revenue - Product	789	916	1,255	1,781	1,927	1,909	459	509	559	691	2,218	645	675	659	739	2,719	2,899	2,925
Revenue - Services	1,375	1,678	2,087	2,637	3,378	4,047	1,081	1,121	1,166	1,214	4,581	1,205	1,262	1,305	1,363	5,136	5,777	6,463
Total Revenue	2,163	2,594	3,342	4,417	5,305	5,956	1,540	1,630	1,725	1,905	6,800	1,850	1,938	1,964	2,103	7,854	8,677	9,388
COGS - Products, non-GAAP	317	346	480	682	755	646	148	164	179	228	718	207	216	212	240	876	942	951
COGS - Services, non-GAAP	169	200	272	365	443	469	131	136	138	148	554	144	151	157	164	616	722	808
COGS - Total, non-GAAP	485	546	752	1,047	1,197	1,115	279	300	317	376	1,272	351	368	369	404	1,491	1,664	1,759
Gross Profit - Products, non-GAAP	472	570	775	1,099	1,173	1,263	311	345	381	464	1,500	438	459	447	499	1,843	1,957	1,974
Gross Profit - Services, non-GAAP	1,206	1,478	1,815	2,272	2,935	3,578	949	985	1,027	1,066	4,027	1,061	1,111	1,149	1,200	4,520	5,055	5,655
Gross Profit, non-GAAP	1,678	2,048	2,590	3,370	4,108	4,841	1,260	1,330	1,408	1,530	5,528	1,499	1,570	1,596	1,699	6,363	7,012	7,629
Research & Development, non-GAAP	238	294	368	448	537	631	176	184	177	180	717	189	199	209	216	813	898	969
Sales & Marketing, non-GAAP	822	959	1,230	1,575	1,890	1,932	511	556	548	592	2,207	600	634	646	699	2,579	2,856	3,083
General & Administrative, non-GAAP	81	97	116	139	173	193	47	49	47	48	191	48	50	53	55	206	222	233
Total Operating Expenses	1,142	1,350	1,714	2,162	2,601	2,756	734	790	771	820	3,115	837	883	908	970	3,598	3,976	4,286
Operating Income, non-GAAP	536	698	876	1,208	1,507	2,085	526	540	637	710	2,413	662	687	687	729	2,765	3,036	3,344
Total other income, net	39	14	(27)	(44)	51	88	25	59	47	25	157	77	29	29	29	163	119	119
Pre-Tax Income	575	712	849	1,165	1,558	2,173	552	599	684	735	2,570	739	716	716	758	2,929	3,156	3,463
Income Taxes (Benefit)	138	150	179	203	272	340	99	108	123	132	463	133	129	129	136	527	568	623
Non-GAAP Net Income	437	563	670	962	1,286	1,833	452	491	561	603	2,107	606	587	588	621	2,401	2,588	2,840
Non-GAAP EPS	\$2.50	0.67	0.80	1.19	1.63	2.37	0.58	0.64	0.74	0.81	2.76	0.82	0.80	0.80	0.84	3.25	3.50	3.85
Total adjustment	105	74	59	105	138	88	19	51	87	97	254	71	34	35	38	178	140	140
GAAP Net Income	332	489	610	857	1,148	1,745	433	440	474	506	1,853	535	553	553	583	2,223	2,448	2,700
GAAP EPS	\$1.90	2.92	0.73	1.07	1.46	2.26	0.56	0.57	0.62	0.68	2.43	0.72	0.75	0.75	0.79	3.01	3.32	3.66
WA Shares Out (Non-GAAP)	175	838	835	805	788	772	777	773	761	748	765	743	738	738	738	739	738	738

Source: Company Reports, TD Cowen

Fortinet, Inc.	FY19	FY20	FY21	FY22	FY23	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26E	3Q26E	4Q26E	FY26E	FY27E	FY28E
Margin Analysis	2019A	2020A	2021A	2022A	2023A	2024	Mar-25	Jun-25	Sep-25	Dec-26	2025	Mar-26	Jun-26E	Sep-26E	Dec-26E	2026E	2027E	2028E
Revenue - Product	36.5%	35.3%	37.6%	40.3%	36.3%	32.0%	29.8%	31.2%	32.4%	36.3%	32.6%	34.9%	34.9%	33.5%	35.2%	34.6%	33.4%	31.2%
Revenue - Services	63.5%	64.7%	62.4%	59.7%	63.7%	68.0%	70.2%	68.8%	67.6%	63.7%	67.4%	65.1%	65.1%	66.5%	64.8%	65.4%	66.6%	68.8%
Gross Profit Margin - Products, non-GAAP	59.8%	62.2%	61.8%	61.7%	60.8%	66.2%	67.7%	67.8%	68.0%	67.1%	67.6%	67.9%	68.0%	67.8%	67.5%	67.8%	67.5%	67.5%
Gross Profit Margin - Services, non-GAAP	87.7%	88.1%	86.9%	86.1%	86.9%	88.4%	87.8%	87.8%	88.1%	87.8%	87.9%	88.1%	88.0%	88.0%	88.0%	88.0%	87.5%	87.5%
Gross Profit Margin, non-GAAP	77.6%	78.9%	77.5%	76.3%	77.4%	81.3%	81.9%	81.6%	81.6%	80.3%	81.3%	81.0%	81.0%	81.2%	80.8%	81.0%	80.8%	81.3%
% YoY Incremental Gross margin	86.6%	85.9%	72.5%	72.6%	83.1%	112.7%	108.9%	82.4%	70.4%	69.2%	81.3%	76.9%	78.1%	78.4%	85.6%	79.2%	79.0%	86.8%
Research & Development, non-GAAP	11.0%	11.3%	11.0%	10.1%	10.1%	10.6%	11.4%	11.3%	10.3%	9.4%	10.5%	10.2%	10.3%	10.6%	10.3%	10.3%	10.3%	10.3%
Sales & Marketing, non-GAAP	38.0%	37.0%	36.8%	35.7%	35.6%	32.4%	33.2%	34.1%	31.7%	31.1%	32.5%	32.4%	32.7%	32.9%	33.2%	32.8%	32.9%	32.8%
General & Administrative, non-GAAP	3.8%	3.7%	3.5%	3.1%	3.3%	3.2%	3.1%	3.0%	2.7%	2.5%	2.8%	2.6%	2.6%	2.7%	2.6%	2.6%	2.6%	2.5%
Operating Margin, non-GAAP	24.8%	26.9%	26.2%	27.3%	28.4%	35.0%	34.2%	33.1%	36.9%	37.3%	35.5%	35.8%	35.4%	35.0%	34.7%	35.2%	35.0%	35.6%
% YoY Incremental Operating margin	36.8%	37.6%	23.8%	30.9%	33.7%	88.9%	75.2%	18.5%	42.4%	24.1%	38.8%	43.9%	47.8%	21.2%	9.7%	33.4%	33.0%	43.2%
Pre-Tax Margin	26.6%	27.5%	25.4%	26.4%	29.4%	36.5%	35.8%	36.7%	39.7%	38.6%	37.8%	39.9%	36.9%	36.5%	36.0%	37.3%	36.4%	36.9%
Effective Tax Rate	24.0%	21.0%	21.1%	17.4%	17.5%	15.7%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%
Net Income Margin	20.2%	21.7%	20.0%	21.8%	24.2%	30.8%	29.4%	30.1%	32.5%	31.6%	31.0%	32.7%	30.3%	29.9%	29.5%	30.6%	29.8%	30.3%
Year-on-year Growth Rates																		
Billings	20.9%	18.7%	35.6%	33.8%	14.2%	2.1%	13.4%	15.5%	11.2%	20.8%	15.6%	30.6%	25.3%	14.8%	12.0%	19.7%	10.6%	5.7%
Revenue - Product	16.9%	16.2%	36.9%	41.9%	8.2%	-1.0%	12.3%	12.6%	18.0%	20.4%	16.2%	40.5%	32.7%	17.8%	7.0%	22.6%	6.6%	0.9%
Revenue - Services	22.0%	22.1%	24.4%	26.3%	28.1%	19.8%	14.4%	14.1%	12.7%	11.8%	13.2%	11.5%	12.6%	12.0%	12.3%	12.1%	12.5%	11.9%
Total Revenue	20.1%	19.9%	28.8%	32.2%	20.1%	12.3%	13.8%	13.6%	14.4%	14.8%	14.2%	20.1%	18.9%	13.9%	10.4%	15.5%	10.5%	8.2%
Gross Profit - Products, non-GAAP	21%	21%	36%	42%	7%	8%	37%	16%	12%	17%	19%	41%	33%	17%	8%	23%	6%	1%
Gross Profit - Services, non-GAAP	24%	23%	23%	25%	29%	22%	14%	13%	12%	11%	13%	12%	13%	12%	13%	12%	12%	12%
Gross Profit, non-GAAP	23%	22%	26%	30%	22%	18%	19%	14%	12%	12%	14%	19%	18%	13%	11%	15%	10%	9%
Research & Development		23%	25%	22%	20%	17%	15%	28%	7%	7%	14%	8%	8%	18%	20%	13%	10%	8%
Sales & Marketing		17%	28%	28%	20%	2%	8%	17%	12%	19%	14%	17%	14%	18%	18%	17%	11%	8%
General & Administrative		19%	20%	19%	25%	11%	6%	6%	-20%	8%	-1%	1%	1%	14%	16%	8%	8%	5%
Total Operating Expenses		18%	27%	26%	20%	6%	9%	19%	9%	16%	13%	14%	12%	18%	18%	15%	11%	8%
Operating Income	33%	30%	26%	38%	25%	38%	36%	7%	17%	9%	16%	26%	27%	8%	3%	15%	10%	10%
% YoY Incremental Operating margin		38%	24%	31%	34%	89%	75%	18%	42%	24%	39%	44%	48%	21%	10%	33%	33%	43%
Net Income	37%	29%	19%	44%	34%	43%	35%	12%	15%	5%	15%	34%	20%	5%	3%	14%	8%	10%
Non-GAAP EPS	36%	-73%	20%	49%	37%	45%	34%	11%	17%	9%	16%	40%	25%	8%	4%	18%	8%	10%

Source: Company Reports, TD Cowen

Fortinet, Inc.	FY19	FY20	FY21	FY22	FY23	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26E	3Q26E	4Q26E	FY26E	FY27E	FY28E
Balance Sheet (\$Millions)	2019A	2020A	2021A	2022A	2023A	2024	Mar-25	Jun-25	Sep-25	Dec-26	2025	Mar-26	Jun-26E	Sep-26E	Dec-26E	2026E	2027E	2028E
Assets																		
Cash & Cash Eq	\$1,222.5	1,062	1,319	1,683	1,398	2,876	3,597	3,369	1,996	2,495	2,495	2,224	2,704	3,183	3,881	3,881	6,896	9,993
ST Investments	843.1	776	1,233	528	1,043	1,191	1,184	1,194	1,128	1,087	1,087	1,071	1,071	1,071	1,071	1,071	1,071	1,071
Accounts Rec	544.3	720	808	1,262	1,402	1,463	1,174	1,216	1,168	1,691	1,691	1,486	1,473	1,493	1,850	1,850	2,043	2,198
Inventory	117.9	140	176	265	485	316	363	405	427	400	400	370	465	471	421	421	483	629
Prepaid Exp & Other	41.2	43	65	73	101	126	125	163	195	227	227	182	155	157	168	168	186	250
Total Current Assets	\$2,769.0	2,740	3,601	3,810	4,428	5,972	6,443	6,346	4,914	5,900	5,900	5,333	5,868	6,376	7,391	7,391	10,679	14,141
PPE Net	344.3	448	688	899	1,044	1,350	1,404	1,545	1,605	1,619	1,619	1,692	1,725	1,760	1,795	1,795	1,943	2,103
Deferred Contract cost	237.0	305	423	518	606	623	636	665	682	736	736	754	761	806	869	869	962	1,036
Deferred Tax Asset	226.3	245	342	569	869	1,336	1,412	1,457	1,368	1,315	1,315	1,305	1,628	1,650	1,724	1,724	2,135	2,398
Long Term Investments	144.3	118	441	46	0	0	35	112	289	340	340	340	340	340	340	340	340	340
Other Assets	158.3	188	425	386	312	484	478	516	504	480	480	462	465	471	505	505	604	749
Total Assets	\$3,879.2	4,045	5,919	6,228	7,259	9,763	10,407	10,641	9,361	10,389	10,389	9,884	10,787	11,403	12,624	12,624	16,663	20,767
Liabilities and Equity																		
Accounts Payable	96.4	142	148	243	204	191	225	245	245	231	231	239	295	283	294	294	325	320
Accrued Liab & other	101.8	149	197	266	360	338	415	339	339	355	355	366	372	377	395	395	409	420
Accrued Payroll and Comp	101.8	146	195	219	242	256	250	281	274	313	313	292	310	314	336	336	371	400
Current Portion of Long Term Debt							499	499	499	500	500	0	0	0	0	0	0	0
Deferred Revenue	1,155.8	1,393	1,777	2,349	2,849	3,276	3,339	3,413	3,413	3,636	3,636	3,726	3,885	3,929	4,268	4,268	4,993	5,431
Total Current Liabilities	\$1,455.8	1,830	2,318	3,078	3,655	4,061	4,728	4,777	4,770	5,034	5,034	4,624	4,861	4,903	5,295	5,295	6,098	6,569
Deferred Revenue	953.3	1,213	1,676	2,291	2,886	3,085	3,079	3,155	3,190	3,480	3,480	3,625	3,759	3,772	4,037	4,037	4,642	5,395
Long-Term Debt		0	988	990	992	994	496	496	497	497	497	497	497	497	497	497	497	497
Other	127.7	147	139	150	188	130	141	153	154	141	141	148	155	157	168	168	186	200
Total Liabilities	\$2,536.8	3,189	5,121	6,510	7,722	8,269	8,444	8,581	8,610	9,152	9,152	8,894	9,272	9,328	9,997	9,997	11,423	12,661
Stockholders Equity	1,342.4	856	798	(282)	(463)	1,494	1,963	2,060	735	1,238	1,238	990	1,515	2,075	2,627	2,627	5,240	8,106
Total Liabilities and Equity	\$3,879.2	4,045	5,919	6,228	7,259	9,763	10,407	10,641	9,345	10,389	10,389	9,884	10,787	11,403	12,624	12,624	16,663	20,767

Source: Company Reports, TD Cowen

Fortinet, Inc.	FY19	FY20	FY21	FY22	FY23	FY24	1Q25	2Q25	3Q25	4Q25	FY25	1Q26	2Q26E	3Q26E	4Q26E	FY26E	FY27E	FY28E
Cash Flow Statement (\$Millions)	2019A	2020A	2021A	2022A	2023A	2024	Mar-25	Jun-25	Sep-25	Dec-26	2025	Mar-26	Jun-26E	Sep-26E	Dec-26E	2026E	2027E	2028E
Cash Flow from Operations																		
GAAP Net Income	\$331.8	489	607	857	1,148	1,745	433	440	474	506	1,853	535	553	553	583	2,223	2,448	2,700
Depreciation & amortization	61.6	69	84	104	113	123	36	38	38	40	152	40	41	42	43	165	182	201
Amortization of invest. Premiums	(6.0)	1	7	4	(28)	(49)	(10)	(9)	(8)	(6)	(34)	(5)	(5)	(5)	(6)	(21)	(31)	(40)
Stock-based comp	174.1	192	208	217	249	258	66	69	72	73	280	73	73	74	75	294	306	319
Excess tax benefits from stk comp	0.0	0	0	0	0	(106)	0	0	0	0	0	0	0	0	0	0	0	0
Other non-cash items	113.6	131	191	315	327	308	43	73	78	91	284	49	50	50	51	201	350	350
Adj. to reconcile net income to net cash	675.1	882	1,097	1,498	1,810	2,279	568	611	654	702	2,535	691	712	713	747	2,863	3,256	3,530
(Inc) Dec in Accts Receivable	(96.7)	(176)	(73)	(457)	(146)	(45)	304	(41)	46	(525)	(216)	205	14	(20)	(357)	(159)	(192)	(155)
(Inc) Dec in Inventories	(48.5)	(42)	(19)	(109)	(254)	131	(34)	(46)	(30)	19	(91)	24	(95)	(6)	51	(27)	(62)	(147)
(Inc) Dec in Deferred Tax Assets	17.8	(11)	(94)	(226)	(302)	(223)	(30)	(45)	89	53	66	11	(323)	(22)	(74)	(409)	(411)	(262)
(Inc) Dec in Prepaid Exp & Other	(2.1)	(3)	(18)	(8)	(28)	(14)	3	(36)	(32)	(32)	(96)	63	27	(2)	(11)	76	(17)	(64)
Inc (Dec) in Deferred Contract costs	(162.3)	(205)	(295)	(318)	(354)	(311)	(91)	(111)	(103)	(144)	(449)	(112)	(118)	(108)	(149)	(487)	(504)	(518)
(Inc) Dec in Other Assets	(1.5)	(5)	(19)	(35)	18	(11)	2	(13)	(2)	(3)	(16)	(5)	(4)	(6)	(33)	(49)	(99)	(146)
Inc (Dec) in Accts Payable	7.7	37	(13)	105	(43)	(10)	25	22	(35)	16	28	(26)	56	(12)	12	30	31	(5)
Inc (Dec) in Accrued liabilities	(1.4)	46	50	55	97	(107)	64	(73)	(6)	29	13	13	6	5	18	42	13	11
Inc (Dec) in Accts Payroll and comp	(2.7)	43	44	25	23	0	(8)	31	(7)	39	55	(21)	18	4	22	23	35	28
Inc (Dec) in Deferred Rev	446.7	496	839	1,178	1,095	578	57	148	83	466	754	236	292	56	605	1,190	1,330	1,190
Inc (Dec) in Income taxes payable & Other	(18.8)	10	(1)	24	19	(8)	5	5	(3)	(1)	7	(1)	7	2	11	19	17	14
(Inc) Dec in Op. Working Capital	138.2	190	402	233	126	(21)	296	(159)	1	(82)	56	386	(122)	(109)	95	250	140	(53)
Net Cash Flow from Operations	\$813.3	1,084	1,500	1,731	1,936	2,258	863	452	655	620	2,591	1,077	590	604	841	3,113	3,396	3,477
Cash Flow from Investing Activities																		
Purchase of PP&E	(92.2)	(126)	(296)	(281)	(204)	(379)	(67)	(168)	(88)	(43)	(365)	(71)	(110)	(125)	(144)	(450)	(380)	(380)
Purchase of Investments	(1,332.3)	(1,079)	(2,511)	(389)	(1,856)	(1,949)	(503)	(474)	(536)	(484)	(1,996)	(351)				(351)	0	0
Maturities of marketable securities	956.8	1,171	1,556	1,465	1,419	1,892	467	403	448	475	1,793	300				300	0	0
Acquisitions	0.0	(40)	(75)	(31)	(9)	(247)	(11)	(30)	0	0	(42)	0	0	0	0	0	0	0
Other	(34.6)	1	0	0	0	(45)	3	3	0	5	11	116	0	0	0	116	0	0
Net Cash Flow from Investing	(\$502.3)	(73)	(1,325)	764	(649)	(727)	(111)	(266)	(176)	(46)	(599)	(6)	(110)	(125)	(144)	(385)	(380)	(380)
Cash Flow from Financing Activities																		
Long-Term Debt or Other Financing	(3.7)	0	987	0	0	0	0	(401)	(1,832)	(57)	(2,290)	(1,324)	0	0	0	(1,324)	0	0
Other Equity Activity	(191.9)	(1,172)	(904)	(2,130)	(1,570)	(50)	(33)	(13)	(20)	(16)	(82)	(19)	0	0	0	(19)	0	0
Net Cash Flow from Financing Activities	(\$195.6)	(1,172)	83	(2,130)	(1,570)	(50)	(33)	(414)	(1,852)	(73)	(2,372)	(1,343)	0	0	0	(1,343)	0	0
Exchange Rate Effect	\$0.0	0	(0)	0	0	0	1	0	(0)	(2)	0	0	0	0	0	0	0	0
Beginning Cash Balance	\$1,112.4	1,223	1,062	1,319	1,683	1,397	2,877	3,597	3,369	1,996	2,876	2,496	2,225	2,705	3,184	2,495	3,881	6,896
Total Change in Cash	\$115.4	(161)	257	364	(286)	1,479	721	(228)	(1,373)	500	(381)	(272)	480	479	697	1,385	3,016	3,097
Ending Cash Balance	\$1,227.8	1,062	1,319	1,683	1,397	2,876	3,597	3,369	1,996	2,496	2,495	2,225	2,705	3,184	3,881	3,881	6,896	9,993

Source: Company Reports, TD Cowen

VALUATION METHODOLOGY AND RISKS

Valuation Methodology

Cybersecurity & Information Security:

Our valuation methodology is primarily based on Enterprise Value to Free Cash Flow (EV/FCF), followed by Price-to-Earnings (P/E). However, this varies by company; for instance, we will often use Enterprise Value to Revenue (EV/Revs) or a discounted cash flow (DCF) analysis for software companies that are primarily subscriptions-based, or for growth companies that have recently entered the public equity markets.

We make investment recommendations on certain early stage, pre-revenue companies based upon an assessment of their business model, technology, probability of market success, and the potential market opportunity, balanced by an assessment of applicable risks. Such companies may not be assigned a price target.

Investment Risks

Cybersecurity & Information Security:

The global economy or specific end markets significantly worsen, contracting IT spending and impairing software growth. The rate of SaaS/Cloud adoption slows, resulting in prolonged sales cycles and higher-than-anticipated quarterly volatility across much of our coverage universe. Competition increases materially, driving deflationary pricing pressure and compressing margins. In particular, innovation by new entrants in the software sector often produces solutions with similar or better functionality at materially lower prices than incumbents' legacy offerings.

Risks To The Price Target

Risks To The Price Target Include:

- **Global Macro Slowdown:** Macroeconomic conditions could have a negative impact on IT security spending which can limit growth. FTNT's high international exposure is susceptible to FX risk.
- **Competitive Dynamics:** Direct competition from Cisco, Fortinet, and Palo Alto Networks; and other next-gen cloud security challengers may continue to tighten, causing product revenue to deteriorate. Operating margins could meaningfully suffer as a result of trying to keep pace.
- **Breach of Network and/or Product Failure:** Any security breach affecting FTNT's software could have a disproportionately negative effect given the importance of reputation and trust for a security company.
- **Shortage of Skilled Talent:** Failure to attract highly skilled IT security human capital to sustain technological innovation would have negative influence on the future success of the business.

ADDENDUM

Stocks Mentioned In Important Disclosures

Ticker	Company Name
NET	Cloudflare
FTNT	Fortinet
SAIL	SailPoint

Analyst Certification

Each author of this research report hereby certifies that (i) the views expressed in the research report accurately reflect his or her personal views about any and all of the subject securities or issuers, and (ii) no part of his or her compensation was, is, or will be related, directly or indirectly, to the specific recommendations or views expressed in this report.

Important Disclosures

TD Securities Inc., TD Securities (USA) LLC or its affiliates makes a market in the stock of Fortinet, Cloudflare and SailPoint securities.

TD Cowen compensates research analysts for activities and services intended to benefit the firm's investor clients. Individual compensation determinations for research analysts, including the author(s) of this report, are based on a variety of factors, including the overall profitability of the firm and the total revenue derived from all sources, including revenues from investment banking, sales or trading. TD Cowen does not compensate research analysts based on specific investment banking transactions or specific trading activities, nor does it permit any feedback or input from investment banking for the purpose of research analyst compensation.

Disclaimer

"TD Securities" is a trademark of The Toronto-Dominion Bank ("TD") and represents certain investment banking, capital markets and wholesale banking activities conducted through certain subsidiaries and branches of The Toronto-Dominion Bank worldwide. "TD Cowen" is a division of TD Securities and represents a marketing name of certain businesses within TD Securities, including for TD Securities Global Research.

THIS RESEARCH REPORT WAS PRODUCED SOLELY BY TD SECURITIES (USA) LLC.

THIS RESEARCH REPORT WAS PREPARED IN ACCORDANCE WITH THE RULES UNDER THE FINANCIAL INDUSTRY REGULATORY AUTHORITY (FINRA). THIS REPORT WAS NOT PREPARED IN ACCORDANCE WITH CANADIAN DISCLOSURE REQUIREMENTS RELATING TO RESEARCH REPORTS.

TD Cowen research reports are simultaneously available to recipients on our client website. Research reports are for our clients only. Not all research reports are disseminated, e-mailed or made available to third-party aggregators. TD Securities is not responsible for the redistribution of TD Cowen research by third-party aggregators. Selected research reports are available in printed form in addition to an electronic form. All published research reports can be obtained on the firm's client website, <https://portal.tdsecurities.com/alpha>.

This material is for general informational purposes only and is not investment advice nor does it constitute an offer, recommendation or solicitation to buy or sell a particular financial instrument. The recipients of this material are to contact the representative in their local jurisdiction with regards to any matters or questions arising from, or in connection with, this material.

The information, opinions, commentaries, estimates and forecasts are as of the date of this report and subject to change without prior notification. We seek to update our materials as appropriate, but at times, there may be various regulations that prevent us from doing so. Macro commentaries are published at irregular intervals as appropriate in the author's judgement.

Historical information regarding performance is not indicative of future results and investors should understand that statements regarding future prospects may not be realized. All investments entail risk, including potential loss of principal invested. Performance analysis is based on certain assumptions, the results of which may vary significantly depending on the modelling inputs assumed.

The information contained herein is not intended for distribution to, or use by, any person in any state or jurisdiction where such distribution or use would be contrary to applicable law or regulation, or which would subject TD Securities to additional licensing or registration requirements.

This material is not to be construed as accounting, legal or tax advice. Other than disclosures relating to TD Securities, the information herein is based on sources we believe to be reliable but is not guaranteed by us and does not purport to be a complete statement or summary of the available data. The opinions and commentaries herein do not take into account individual client circumstances, objectives or needs and are not intended as an offer or solicitation with respect to the purchase or sale of any security or recommendations of investment strategy. The recipients of this report must make their own independent decisions regarding any predictions, opinions or other information in this report. To the extent that this report discusses any legal proceedings or issues, it has not been prepared to express or intended to express any legal conclusion, opinion or advice. Our analysts, salespeople, traders and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed in this report.

TD Cowen disclaims any and all liability relating to the information herein, including without limitation any express or implied representations or warranties for, statements contained in, and omissions from, the information. TD Cowen is not liable for any errors or omissions in such information or for any loss or damage suffered, directly or indirectly, from the use of this information. TD Cowen may have effected or may effect transactions for its own account in the securities described herein. No proposed customer or counterparty relationship is intended or implied between TD Cowen and a recipient of this document.

TD Cowen research is produced in the U.S. by TD Securities (USA) LLC, a wholly owned subsidiary of The Toronto-Dominion Bank. TD Securities (USA) LLC is a U.S. broker dealer registered with the U.S. Securities and Exchange Commission and is a member of the Financial Industry Regulatory Authority and of the Securities Investor Protection Corporation.

TD Cowen research is produced in Canada by TD Securities Inc., a wholly owned subsidiary of The Toronto-Dominion Bank. TD Securities Inc. is regulated by the Canadian Investment Regulatory Organization of Canada, a member of the Canadian Investor Protection Fund and a member of Canadian Marketplaces.

The legal entity identified on the front cover is the legal entity responsible for the production of this report. Where there are multiple authors with different legal entities identified, these legal entities are jointly responsible for the production of this report. Multiple authors from various TD Securities legal entities may have contributed to

the production of this material but may not be registered or licensed to carry out regulated activities in your jurisdiction and do not hold themselves out as being able to do so. Unless otherwise stated below, this material has been distributed by the legal entity responsible for production.

The information contained herein is not intended for distribution to, or use by, any person in any state or jurisdiction where such distribution or use would be contrary to applicable law or regulation, or which would subject TD Securities to additional licensing or registration requirements.

If you would like to unsubscribe from our email distribution lists at any time, please contact your TD Securities Sales Contact. If you are located in Europe, Asia, Australia or New Zealand you may also unsubscribe by emailing us at Privacy.EAP@tdsecurities.com.

You can access our Privacy Policy here http://www.tdsecurities.com/tds/content/AU_PrivacyPage.

For important disclosures regarding the companies that are the subject of this research report, please contact TD Securities (USA) LLC, Research Department, 1 Vanderbilt Avenue 22nd Floor, New York, NY 10017 or TD Securities Inc. Research Department, 66 Wellington Street West Toronto, Ontario M5K 1A2. In addition, the same important disclosures, except for the valuation methods and risks, are available on the Firm's disclosure website at [https://tdcowen.bluematrix.com/sellside/ Disclosures.action](https://tdcowen.bluematrix.com/sellside/Disclosures.action).

Equity Research Price Targets: TD Cowen assigns price targets on all companies covered in equity research unless noted otherwise. The equity research price target for an issuer's stock represents the value that the analyst reasonably expects the stock to reach over a performance period of twelve months. Any price targets in equity securities in this report should be considered in the context of all prior published TD Cowen equity research reports (including the disclosures in any such equity report or on the Firm's disclosure website), which may or may not include equity research price targets, as well as developments relating to the issuer, its industry and the financial markets. For equity research price target valuation methodology and risks associated with the achievement of any given equity research price target, please see the analyst's equity research report publishing such targets.

Recipients of this analysis or research report are to contact the representative in their local jurisdiction with regards to any matters or questions arising from, or in connection with, the analysis or research report.

Australia

If you receive this document and you are domiciled in Australia, please note that it is intended to be issued for general information purposes only and distributed to a person who is a wholesale client, as defined in the Corporations Act 2001 and Corporations Regulations 2001, by Toronto Dominion (South East Asia) Limited ("TDSEA"). TDSEA does not hold itself out to be providing financial advice in these circumstances. TD Securities is a trademark and represents certain investment dealing and advisory activities of The Toronto-Dominion Bank and its subsidiaries, including TDSEA. The Toronto-Dominion Bank is not an authorized deposit-taking or financial services institution in Australia. TDSEA is a holder of an Australian Financial Services License (528885) and is regulated in Australia by the Australian Securities and Investments Commission.

- TD Securities (USA) LLC ("TDS USA") is exempt from the requirement to hold an Australian Financial Services Licence under the Corporations Act 2001 in respect of those financial services; and
- TDS USA is regulated by the U.S. Securities and Exchange Commission under U.S. laws, which differ from Australian laws.

Canada

No securities commission or similar regulatory authority in Canada has reviewed or in any way passed judgment upon this report, the information contained herein, or the merits of the securities described herein, if any, and any representation to the contrary is an offence.

Canadian clients wishing to effect transactions in any security discussed herein should do so through a qualified salesperson of TD Securities or TD Securities Inc. TD Securities Inc. is a member of the Canadian Investor Protection Fund and is regulated by CICO.

China, India, and South Korea

Insofar as the document is received by any persons in the People's Republic of China ("PRC"), India and South Korea, it is intended only to be issued to persons who have the relevant qualifications to engage in the investment activity mentioned in this document. The recipient is responsible for obtaining all relevant government regulatory approvals/licenses themselves and represents and warrants to The Toronto-Dominion Bank that the recipient's investments in those securities do not violate any law or regulation, including, but not limited to, any relevant foreign exchange regulations and/or overseas investment regulations. The Toronto-Dominion Bank has a representative office in Shanghai, Mumbai and Seoul which should be contacted for any general enquiry related to The Toronto-Dominion Bank or its business. However, neither any of the Toronto-Dominion Bank offshore branches/ subsidiaries nor its representative offices are permitted to conduct business within the borders of the PRC, India and South Korea. In locations in Asia where the Bank does not hold licenses to conduct business in financial services, it is not our intention to, and the information contained in this document should not be construed as, conducting any regulated financial activity, including dealing in, or the provision of advice in relation to, any regulated instrument or product. This publication is for general information only, without addressing any particular needs of any individual or entity and should not be relied upon without obtaining specific advice in the context of specific circumstances.

Hong Kong SAR (China)

This document, which is intended to be issued in Hong Kong SAR (China) ("Hong Kong") only to Institutional Professional Investors as defined under paragraph (a) to (i) of the definition of Professional Investor in the Securities and Futures Ordinance (the "SFO"), has been distributed through Toronto-Dominion Bank, Hong Kong Branch, which is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission.

Japan

For Japanese residents, please note that if you have received this document from The Toronto-Dominion Bank entities based outside Japan, it is being provided to qualified financial institutions ("QFI") only under a relevant exemption to the Financial Instruments and Exchange Act. If you have received this document from TD Securities (Japan) Co., Ltd., it is being provided only to institutional investors. TD Securities (Japan) Co., Ltd. is regulated by the Financial Services Agency of Japan and is distributing this document in Japan as a Type 1 Financial Instruments Business Operator registered with the Kanto Local Finance Bureau under registration number, Kinsho 2992, and a member of Japan Securities Dealers Association.

New Zealand

The Toronto-Dominion Bank is not a "registered bank" in New Zealand under the Reserve Bank Act 1989.

Singapore

This report is distributed in Singapore by The Toronto-Dominion Bank, Singapore Branch or Toronto Dominion (South East Asia) Limited, and recipients in Singapore of this report are to contact the entity from which they received this report in respect of any matters arising from, or in connection with, this report. The Toronto-Dominion Bank, Singapore Branch and Toronto Dominion (South East Asia) Limited are regulated by the Monetary Authority of Singapore. It is only intended for distribution to a person who is an accredited investor, institutional investor or expert investor as defined in the Singapore Securities and Futures Act.

United Kingdom and Europe

TD Securities' principal trading area and investing businesses may make investment decisions that are inconsistent with recommendations or views expressed in our research. TD Securities maintains physical, electronic and procedural information barriers to address the flow of information between and among departments within TD Securities, as well as its affiliates. Additionally, the persons who are not involved with the production of the recommendation but are reasonably expected to have access to the recommendation prior to its completion are subject to policies and procedures preventing them to trade related to expected recommendation. Research department related policies are designed to prevent, monitor, surveil and avoid appearance of conflicts of interest with respect to the persons or associated persons involved in the production of the recommendation. This research report is to be communicated only to persons of a kind described in Articles 19 and 49 of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005. It must not be further transmitted to any other person without our consent. The Toronto-Dominion Bank and TD Bank Europe Limited ("TDBEL") are regulated for investment business conducted in the UK by the UK Financial Conduct Authority. TD Global Finance unlimited company is regulated for investment business conducted in Ireland by the Central Bank of Ireland. TD Execution Services Limited is authorized and regulated in the UK by the Financial Conduct Authority.

The Toronto-Dominion Bank and TD Bank Europe Limited are regulated for investment business conducted in the UK by the UK Financial Conduct Authority. TD Global Finance unlimited company is regulated for investment business conducted in Ireland by the Central Bank of Ireland. This document is prepared, issued or approved for issuance in the UK by the Toronto-Dominion Bank, TDBEL and/or in Europe by TD Global Finance unlimited company in respect of investment business. Insofar as the document is issued in or to the United Kingdom, it is intended only to be issued to persons who (i) are persons falling within Article 19(5) ("Investment professional") of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Financial Promotion Order"), (ii) are persons falling within Article 49(2)(a) to (d) ("High net worth companies, unincorporated associations, etc.") of the Financial Promotion Order, or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated. Insofar as the document is issued in or to the European Union, it is intended only to be issued to persons categorized as 'Per Se Professional' or 'Eligible Counterparties' as defined in S.I. No 375 of 2017, European Union (Markets in Financial Instruments) Regulations 2017, Schedule 2. Clients in the United Kingdom wishing to effect transactions in any security discussed herein should do so through a qualified salesperson of TD Bank Europe Limited. European clients wishing to effect transactions in any security discussed herein should do so through a qualified salesperson of TD Global Finance unlimited company. Article 20 Market Abuse Regulation 596/2014 ("MAR") requires market participants who produce or disseminate Investment Recommendations or other information recommending or suggesting an investment strategy to take reasonable care that such information is objectively presented, and to disclose their interests or indicate conflicts of interest.

In accordance with the MAR requirements, see the Investment Recommendations Disclaimer for relevant information in relation to The Toronto-Dominion Bank – London Branch, TDBEL and TD Global Finance unlimited company. <https://www.tdsecurities.com/tds/document/MAR-IR-Disclaimer>.

Additional Notice to European Union Investors: Individuals producing recommendations are required to obtain certain licenses by the Financial Regulatory Authority (FINRA). You can review the author's current licensing status and history, employment history and, if any, reported regulatory, customer dispute, criminal and other matters via "Brokercheck by FINRA" at <http://brokercheck.finra.org/>. An individual's licensing status with FINRA should not be construed as an endorsement by FINRA. General biographical information is also available for each Research Analyst at <https://www.tdsecurities.com/ca/en>.

Additionally, the complete preceding 12-month recommendations history related to recommendation in this research report is available at <https://tdcowen.bluematrix.com/sellside/Disclosures.action>

The recommendation contained in this report was produced at July 12, 2026, 14:43ET. and disseminated at July 13, 2026, 5:00ET.

Copyright, User Agreement and other general information related to this report.

Copyright © 2026 The Toronto-Dominion Bank and/or its affiliates. All Rights Reserved. The TD logo and other TD trademarks are the property of The Toronto-Dominion Bank or its subsidiaries. This research report is prepared for the exclusive use of TD Cowen clients and may not be copied, reproduced, posted, displayed, modified, redistributed, transmitted, or disclosed, in whole or in part, or in any form or manner, to others outside your organization without the express prior written consent of TD Cowen. Any unauthorized use or disclosure is prohibited. Receipt and review of this research constitutes your agreement not to reproduce, display, modify, distribute, transmit, or disclose to others outside your organization.

TD Cowen: Atlanta 866 544 7009 **Boston** 617 946 3700 **Calgary** 403 299 8572 **Chicago** 312 577 2240 **Cleveland** 440 331 3531 **Montreal** 514 289 1500 **New York** 646 562 1010 **San Francisco** 415 646 7200 **Stamford** 646 616 3000 **Toronto** 416 944 6978 **Vancouver** 604 654 3332

TD COWEN EQUITY RESEARCH RATING DEFINITIONS

Buy (1): The stock is expected to achieve total return of +15% or more over the next 12 months

Hold (2): The stock is expected to achieve a total return that falls between -10% to +15% over the next 12 months

Sell (3): The stock is expected to achieve a total return of -10% or below over the next 12 months

Suspended (4): Due to evolving circumstances and potential conflicts of interest, we can no longer generate what we consider a defensible rating at the current time

Assumption: The expected total return calculation includes annual return and forecasted dividend yield

TD Cowen Equity Research Rating Distribution

Distribution of Ratings/Investment Banking Services (IB) as of 06/30/26

Rating	Count	Ratings Distribution	Count	IB Services/Past 12 Months
Buy	868	66.92%	348	40.09%
Hold	416	32.07%	130	31.25%
Sell	13	1.00%	4	30.77%

TD Cowen Equity Research Rating Distribution Table does not include any subject company for which the equity research rating is currently suspended.

Fortinet Rating History as of 07/09/2026

powered by: BlueMatrix



Cloudflare Rating History as of 07/09/2026

powered by: BlueMatrix



SailPoint Rating History as of 07/09/2026

powered by: BlueMatrix



Legend for Price Chart:

I = Initiation | 1 = Buy | 2 = Hold | 3 = Sell | 4 = Suspended | UR = Price Target Under Review | D = Discontinued Coverage | \$xx = Price Target | NA = Not Available

POINTS OF CONTACT

Analyst Profiles



Shaul Eyal
New York
646 562 1414
shaul.eyal@tdsecurities.com

Shaul Eyal is a senior analyst and one of Wall Street's leading experts covering the cybersecurity software industry. He joined TD Cowen in 2021.



Hugh Cunningham, CFA, CAIA
New York
646 562 1370
hugh.cunningham@tdsecurities.com

Hugh Cunningham is a member of the cybersecurity software team. He has an MBA in finance from the Kellogg School of Management.



Michael Junghans
New York
646 562 1427
michael.junghans@tdsecurities.com

Michael Junghans joined the cybersecurity software team in 2022. He previously covered TMT SMID-cap stocks at Commerzbank in London.

Reaching TD Cowen

North American Locations

Atlanta 3424 Peachtree Road NE Suite 2200 Atlanta, GA 30326 866 544 7009	Boston Two International Place Boston, MA 02110 617 946 3700 800 343 7068	Calgary 36th Floor, TD Canada Trust Tower 421 - 7th Avenue, S.W. Calgary, Alberta T2P 4K9 403 299 8572	Chicago 71 S. Wacker Drive 30th Floor Chicago, IL 60606 312 577 2240
Cleveland 20006 Detroit Road Suite 100 Rocky River, OH 44116 440 331 3531	Montreal 1 Place Ville Marie, Suite 1430 Montreal, Quebec H3B 2B2 514 289 1500	New York One Vanderbilt Avenue New York, NY 10017 212 827 7000	San Francisco One Maritime Plaza, 9th Floor San Francisco, CA 94111 800 858 9316
Stamford 262 Harbor Drive Stamford, CT 06902 646 616 3000	Toronto P.O Box 1, TD Bank Tower 66 Wellington Street West Toronto, Ontario M5K 1A2 416 944 6978	Vancouver TD Tower 700 West Georgia Street, Suite 1700 Vancouver, British Columbia V7Y 1B6 604 654 3332	Washington, D.C. 3000 K Street, NW Suite 430 Washington, DC 20007 202 868 5300

International Location

TD Execution Services Limited

London
1 Snowden Street - 11th Floor
London EC2A 2DQ
United Kingdom
44 20 7071 7500



TD Securities